

HAC VICE FOR PLAINTIFF
FILED BY: TUBBS, JEFFREY
TENTATIVE RULING:

The pro hac vice application of Joel Walker is **approved**.

3. 9:00 AM CASE NUMBER: C22-02776
CASE NAME: JOHN RC ROE VS. DOES 4-100
HEARING IN RE: APPLICATION PERMITTING JOEL M. WALKER, ESQ. TO APPEAR AS COUNSEL PRO
HAC VICE FOR PLAINTIFF
FILED BY: ROE, JOHN RC
TENTATIVE RULING:

The pro hac vice application of Joel Walker is **approved**.

4. 9:00 AM CASE NUMBER: C23-02106
CASE NAME: SANTIAGO MORALES VS. DWELLEY FAMILY FARMS, LLC
***HEARING ON MOTION IN RE: FINAL APPROVAL SET BY THE COURTROOM**
FILED BY:
TENTATIVE RULING:

Plaintiff Santiago Morales moves for final approval of his class action and PAGA settlement with defendant Dwelley Family Farms, LLC. He also moves for approval of his attorney's fees, litigation costs, administration costs, and representative payment.

Since preliminary approval was granted, the administrator has mailed notices to 420 class members. No objections have been received, and only one class member opted out.

The motion is **granted**.

The original complaint was filed by Plaintiff on August 23, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. A First Amended Complaint adding PAGA claims (based on a notice to the LWDA given on August 23, 2023), was filed on October 26, 2023. A Second amended Complaint was filed on March 21, 2024, and remains the operative complaint.

The settlement will create a gross settlement fund of \$321,860. The class representative payment to plaintiff will be \$7,500. Attorney's fees will be \$107,286.67 (one-third of the settlement). Litigation costs will be \$20,000. (Counsel actually incurred slightly more than that but have limited their claim to what was stated in the settlement and the preliminary approval.) The settlement administrator's costs will be \$7,250, somewhat less than estimated, resulting in a very slight increase in the average recovery. PAGA penalties are \$15,000, resulting in a payment of \$11,250 to the LWDA and \$3,750 to the aggrieved employees. The net amount paid directly to the class members will be about \$164,823. The fund is non-reversionary. Based on the estimated class size of 388, the average net payment for each class member is approximately \$419.

The proposed settlement will certify a class of all current and former non-exempt employees

employed by Defendant during the class period.

The class members will not be required to file a claim. Funds will be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable.

The proposed settlement provides that checks undelivered or uncashed 180 days after mailing will be voided, and the funds will be provided to the State Controller's Unclaimed Property Fund.

The settlement contains release language covering all "those claims arising out of or related to the allegations set forth in the operative complaint[.]" (Settlement, Par. 1.34.) Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (Id., quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken, and a data expert was retained for mediation. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. The Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable,

and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees.” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “the court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “where the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney Fees and Other Costs

Plaintiffs seek one-third of the total settlement amount as fees, relying on the “common fund” theory, or §[. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.)

Accordingly, plaintiffs have provided information concerning the lodestar fee amount. They estimate the lodestar at \$22,774, representing an implied multiplier of 2.5. No adjustment from the one-third fee is necessary. The attorney’s fees are reasonable and are approved.

The requested representative payment of \$7,500 for the named plaintiff was deferred until this final approval motion. Criteria for evaluation of such requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-07. Plaintiff has provided a declaration in support of [his request. He points out that she executed a broader release than the class as a whole, but does not identify any particular claims of value that he may have. He also risks damage to her reputation and more difficulty in obtaining employment. The representative payment is approved.

Litigation costs of \$20,000 (mostly mediation and filing fees) are reasonable and are approved.

The settlement administrator’s costs of \$7,250 are reasonable and are approved.

D. Discussion and Conclusion

The moving papers sufficiently establish that the proposed settlement is fair, reasonable, and adequate to justify final approval. The allocation of PAGA penalties among the aggrieved employees (based on pay periods) is reasonable.

The motion is granted.

Counsel are directed to prepare an order reflecting this entire tentative ruling and the other findings

in the previously submitted proposed order and a separate judgment.

The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented, to be determined in consultation with the Department's clerk by phone. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. Five percent of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

5. 9:00 AM CASE NUMBER: C24-01636
CASE NAME: SOPHIA AGUIRRE VS. SHIFT4 PAYMENTS, LLC
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**
FILED BY: AGUIRRE, SOPHIA MARIE
TENTATIVE RULING:

Plaintiff Sophie Aguirre moves for preliminary approval of her class action and PAGA settlement with defendant Shift4 Payments, LLC. The motion is **granted**.

Background and Settlement Terms

Defendant Shift4 Payments is in the business of providing merchant services to sales businesses. Plaintiff worked there as a technical support representative, a non-exempt position.

The original complaint was filed on June 21 2024. It was amended on September 2, 2025 to add PAGA claims.

The settlement would create a gross settlement fund of \$142,500. The class representative payment to the plaintiff would be \$7,500. Attorney's fees would be \$47,500 (one-third of the settlement). Litigation costs would not exceed \$15,000. The settlement administrator's costs are estimated at \$5,000. PAGA penalties would be \$92,500, resulting in a payment of \$60,125 to the LWDA. The net amount paid directly to the class members would be about \$50,000 for the class, and \$32,375 on the PAGA claims. The fund is non-reversionary. There are an estimated 40 class members, and 26 aggrieved PAGA employees. The number of aggrieved employees for PAGA purposes is smaller, because the starting date of the relevant period is later. Based on the estimated class size, the average net payment for each class member is approximately \$1,250, and the average net PAGA payment will be \$1,245. The individual payments will vary considerably, however, because of the allocation formula prorating payments according to the number of weeks worked during the relevant time.

The entire settlement amount will be deposited with the settlement administrator within 30 days after the effective date of the settlement.

The proposed settlement would certify a class of all current and former non-exempt employed at Defendants' California facilities between June 21, 2020 and September 2, 2025. For PAGA purposes, the period covered by the settlement is April 17, 2023, and September 2, 2025.

The class members will not be required to file a claim. Class members may object or opt out of the